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Five Don'ts for Investors

1. Don't buy into promotional companies.

Close to the very heart of successful investing is finding companies which are developing new products and processes or exploiting new markets. Companies that have just started or are about to be started are frequently attempting to do just this. Many of them are formed to develop a colorful new invention. Many are started to participate in industries, such as electronics, in which there is great growth potential. Another large group is formed to discover mineral or other natural wealth—a field where the rewards for success can be outstanding. For these reasons, young companies not yet earning a profit on their oper-ations may at first glance appear to be of investment value.

There is another argument which frequently increases interest. This is that by buying now when the first shares are offered to the public, there is a chance to “get in on the ground floor.” The successful com-pany is now selling at several times the price at which it was originally offered. Therefore why wait and have somebody else make all this money? Instead why not use the same methods of inquiry and judg-ment in finding the outstanding new enterprise now being promoted as can be used in finding the outstanding established corporation?

From the investment standpoint, I believe there is a basic matter which puts any company without at least two or three years of commercial operation and one year of operating profit in a completely different category from an established company—even one so small that it may not have more than a million dollars of annual sales. In the established company, all the major functions of the business are cur-rently operating. The investor can observe the company's production, sales, cost accounting, management teamwork, and all the other aspects of its operations. Perhaps even more important, he can obtain the opinion of other qualified observers who are in a position to observe regularly some or all of these points of relative strength or weakness in the company under consideration. In contrast, when a company